

Cambridge International AS & A Level

ECONOMICS

Paper 2 AS Level Data Response and Essays

MARK SCHEME

Maximum Mark: 60

This mark scheme follows the same structure, Generic Marking Principles, and level-based assessment criteria (Table A: AO1+AO2 and Table B: AO3) as the published Cambridge AS & A Level Economics Paper 2 mark scheme. It should be used in conjunction with the corresponding practice question paper.

Generic Marking Principles (summary)

1. Marks are awarded in line with the specific content of the mark scheme and the standard exemplified by standardisation scripts.
2. Marks are always whole marks (no half marks).
3. Marks are awarded positively for correct/valid answers; not deducted for errors or omissions.
4. Rules are applied consistently across all candidates.
5. The full range of marks defined in the mark scheme should be used as appropriate.
6. Marks are based solely on the mark scheme, not on grade thresholds.

Table A: AO1 Knowledge and understanding and AO2 Analysis

Use this table to give marks for AO1 + AO2 for Questions 2(b), 3(b), 4(b) and 5(b).

Level	Description	Marks
3	• Detailed knowledge and understanding of relevant economic concepts with explanations and examples. • Clearly addresses the question; develops explanations fully. • Developed, detailed analysis using accurate concepts/theories; diagrams/formulae fully explained. • Well-organised, focused, logical and coherent.	6–8
2	• Some relevant economic concepts; explanations limited, over-generalised or partially inaccurate. • Addresses the general theme; limited development. • Generally accurate analysis with some development; tools partially explained. • Generally logical, occasionally lacking focus.	3–5
1	• A small number of relevant points; limited by errors/omissions. • Little relevance to the question. • Analysis where present is largely descriptive; diagrams may contain errors or be omitted. • Limited organisation.	1–2
0	No creditable response.	0

Table B: AO3 Evaluation

Use this table to award marks for AO3 Evaluation for Questions 2(b), 3(b), 4(b) and 5(b).

Level	Description	Marks
2	• Provides a justified conclusion/judgement addressing the specific requirements of the question. • Makes developed, reasoned and well-supported evaluative comment(s).	3–4
1	• Provides a vague or general conclusion/judgement. • Makes simple evaluative comment(s) with no development and little supporting evidence.	1–2
0	No creditable response.	0

Section A

Follow the point-based marking guidance at the top of this mark scheme.

Question	Answer	Marks
1(a)(i)	Identify one possible reason for the value of price elasticity of demand (PED) for coffee. • PED = -0.3 is inelastic. A reason may be: coffee is a habit-forming/addictive product; relatively low price compared to income; few close substitutes; necessity for some consumers (1). • Award 1 mark for recognition that demand is inelastic plus identification of a valid reason.	1
Question	Answer	Marks
1(a)(ii)	Calculate the percentage change in the value of global sales of coffee between 2018 and 2024. • $((132 - 100) / 100) \times 100 = 32\%$. • Award 1 mark for 32 / 32% (with or without sign). • Award 0 marks if shown as a negative figure or if the calculation is incorrect.	1
Question	Answer	Marks
1(b)	With the help of a demand and supply diagram, demonstrate why global coffee prices fell in 2024 despite increased demand. • Accurately drawn and labelled supply and demand diagram (1) showing supply shifting to the right by a greater amount than the rightward shift of demand, and clearly showing the fall in price (arrow / $P1 \rightarrow P2$ / accompanying explanation) (1). • Guidance: A diagram alone with appropriate annotation is sufficient for the 2 marks.	2
Question	Answer	Marks
1(c)	Consider whether a maximum price set by the government on coffee beans would benefit consumers. • A maximum price is a legally imposed price ceiling set below equilibrium to keep a good affordable (1). • It would reduce the price paid by consumers below the market price, increasing consumer surplus / making coffee more affordable (1). However, it would create a shortage as quantity demanded exceeds quantity supplied at the lower price (1). Reserve 1 mark for valid evaluation, e.g.: • A black market may form / queues / rationing may be needed / producer incomes fall further worsening the original problem (1). Guidance: the evaluation mark can be awarded even without analysis marks PROVIDED there is a reasonable understanding of how a maximum price functions.	4

Question	Answer	Marks
1(d)	Assess the extent to which providing subsidies to coffee farmers would be the best way to ensure stable farmer incomes. Up to 3 marks for analysis of why subsidies would be the best way: • Subsidies lower farmers' costs of production, allowing them to maintain output and income even when global prices fall. • Subsidies can be targeted at small/poor farmers, directly raising the lowest incomes. • Subsidies encourage continued production, preventing rural unemployment and migration. Up to 3 marks for analysis of why subsidies may not be the best way: • High opportunity cost for the government budget; may divert spending from other priorities. • Subsidies can encourage over-production, worsening the price decline. • Subsidies may make farmers complacent and discourage diversification or productivity improvements. • Alternatives such as minimum prices, buffer stocks, training, or income support may be more effective. Comparison with at least one alternative can earn full marks if clearly linked back to subsidies. Note: 4 marks maximum for analysis. Evaluation: clearly assesses both sides (1) and provides a justified conclusion on whether subsidies are the <i>best</i> way (1).	6

Question	Answer	Marks
1(e)	Assess the advantages and disadvantages of Brazil continuing to specialise in the production and export of coffee beans. Up to 3 marks for advantages, e.g.: • Brazil benefits from comparative advantage – favourable climate, established infrastructure, skilled labour – which lowers costs and increases efficiency. • Specialisation allows Brazil to capture economies of scale, increasing export revenue. • Coffee exports earn foreign exchange that can fund imports and investment, supporting economic growth. Up to 3 marks for disadvantages, e.g.: • Dependence on one commodity makes the economy vulnerable to global price fluctuations and falling demand. • A lack of diversification increases exposure to external shocks (climate, pests, currency). • Over-cultivation may exhaust soil/natural resources, threatening long-run sustainability. • Continued specialisation may slow structural change towards higher value-added activities. Note: 4 marks maximum for analysis. Evaluation: clearly assesses both sides (1) and reaches a justified conclusion (1).	6

Section B

Question	Answer	Marks
2(a)	With the help of a diagram, explain the difference between an extension/contraction in demand and a shift of the demand curve and consider the extent to which a fall in the price of a good will always increase total revenue. AO1 Knowledge and Understanding (max 3 marks): • Accurately labelled demand diagram showing two demand curves and movements along a curve (1). • Explanation that an extension/contraction is a movement along the same demand curve caused by a change in the price of the good itself (1). • Explanation that a shift is caused by non-price factors (income, tastes, prices of related goods, etc.), changing demand at every price level (1). AO2 Analysis (max 3 marks): • A fall in price increases quantity demanded — extension along the demand curve (1). • Impact on total revenue depends on the value of PED: if elastic, TR rises; if inelastic, TR falls (2). AO3 Evaluation (max 2 marks): • Whether revenue rises always depends on the value of PED (1) leading to a reasoned conclusion (1). AO1: 3 AO2: 3 AO3: 2	8

Question	Answer	Marks
2(b)	Assess the view that price elasticity of demand is more important than price elasticity of supply when a government introduces an indirect tax on a good. Use Table A (AO1+AO2, /8) and Table B (AO3, /4). Indicative content – AO1+AO2: • Definition of indirect tax (specific/ad valorem) and how it shifts the supply curve upwards / leftwards. • Role of PED: if demand is inelastic, the tax burden falls more heavily on consumers and tax revenue is high; quantity demanded falls only modestly. • Role of PES: if supply is inelastic, producers bear more of the tax burden; if elastic, producers can respond by reducing output significantly. • Tax incidence depends on the relative values of PED and PES; both matter for revenue, deadweight loss and producer/consumer welfare. Level 1: assertive/descriptive, limited relevance. Level 2: some inaccuracy or one-sided; partial explanation; largely relevant. Level 3: balanced, accurate and developed; compares the roles of PED and PES with diagrams where appropriate. Guidance: answers that fail to refer to indirect taxation cannot rise above mid-Level 2. AO3 Evaluation: a one-sided response cannot earn AO3 marks. A justified conclusion comparing PED and PES is required. AO1+AO2: 8 AO3: 4	12

Question	Answer	Marks
3(a)	With the help of a diagram, explain the difference between scarcity and choice and consider whether all economic resources have an opportunity cost. AO1 (max 3 marks): • Accurately drawn PPC or resource diagram (1). • Explanation that scarcity arises because resources are limited relative to unlimited wants (1). • Explanation that choice arises from scarcity — economic agents must select between alternative uses of resources (1). AO2 (max 3 marks): • Definition of opportunity cost as the next best alternative foregone (1). • Application to a PPC: moving from one combination to another sacrifices output of one good (1). • Recognition that economic (scarce) resources have an opportunity cost; free goods (e.g. air in most situations) do not (1). AO3 (max 2 marks): • Evaluation: not all resources have opportunity cost — free goods are an exception (1); reasoned conclusion (1).	8

Question	Answer	Marks
3(b)	Assess the extent to which the division of labour always leads to increased productivity in an economy. Use Table A (AO1+AO2, /8) and Table B (AO3, /4). Indicative content: • Definition of division of labour and specialisation. • Advantages: workers become more skilled at one task; less time wasted switching tasks; encourages investment in specialised capital; raises output per worker. • Disadvantages: worker boredom and de-motivation; high labour turnover; quality may fall; over-dependence on individual workers; structural unemployment if demand changes; limited by the extent of the market. • Productivity gains depend on the nature of the work, scale of production, training and worker welfare. Levels: as per Table A. AO3: balanced evaluation reaching a justified conclusion. One-sided responses earn no AO3 marks.	12

Section C

Question	Answer	Marks
4(a)	Explain the difference between absolute advantage and comparative advantage and consider whether free international trade is always beneficial for a country. AO1 (max 3 marks): • Absolute advantage: a country can produce more of a good using the same resources, or the same amount using fewer resources (1). • Comparative advantage: a country can produce a good at a lower opportunity cost than another country (1). • Numerical example or accurate diagram illustrating the distinction (1). AO2 (max 3 marks): • Free trade allows specialisation according to comparative advantage, raising world output and consumer welfare (1). • Lower prices and wider variety for consumers; access to larger markets for producers (1). • However, infant industries, dumping, structural unemployment and unequal gains can make free trade harmful for some (1). AO3 (max 2 marks): • Evaluation of the conditions under which free trade benefits a country (1) and a reasoned conclusion (1).	8

Question	Answer	Marks
4(b)	Assess whether the use of tariffs is the most effective method of correcting a trade deficit. Use Table A and Table B. Indicative content: • Tariffs raise the price of imports, reducing import demand and thereby narrowing a trade deficit; they also raise government revenue and protect domestic producers. • However, tariffs invite retaliation, raise input costs for domestic firms, reduce consumer welfare, and may breach WTO commitments. • Alternative policies include currency depreciation, supply-side policies (improving competitiveness), import quotas, and demand-management policies. • Effectiveness depends on PED for imports/exports, the cause of the deficit, the time horizon and the response of trading partners. Guidance: answers that do not link policies to reducing a trade deficit cannot rise above mid-Level 2. AO3: a balanced judgement comparing tariffs with at least one alternative, reaching a justified conclusion.	12

Question	Answer	Marks
5(a)	With the help of an AD/AS diagram, explain two possible causes of unemployment and consider the extent to which unemployment is always damaging to an economy. AO1 (max 3 marks): • Accurately labelled AD/AS diagram (axes: price level, real GDP) showing an output gap or insufficient AD (1). • Two causes briefly explained from: cyclical (deficient AD), structural (skills/regional mismatch), frictional (job search), seasonal, technological (2). AO2 (max 3 marks): • Unemployment imposes a cost on the unemployed (lost income, skills atrophy) (1) and on the economy (lost output, higher welfare costs, lower tax revenue) (1). • However, some unemployment is consistent with full employment (frictional/voluntary) and can be productive (job matching) (1). AO3 (max 2 marks): • Whether unemployment is always damaging depends on its type, duration and rate (1); reasoned conclusion (1).	8

Question	Answer	Marks
5(b)	Assess the view that demand-side policies are more effective than supply-side policies in reducing the rate of unemployment. Use Table A and Table B. Indicative content: • Demand-side: expansionary fiscal and monetary policy shift AD right, reducing cyclical unemployment in the short run. • Risks: inflation, higher debt, time lags, ineffectiveness when interest rates are near zero or confidence is low. • Supply-side: education and training, labour market reforms, reductions in benefits or income tax can reduce structural and frictional unemployment, and raise long-run output. • Trade-off: supply-side measures take time but are sustainable; demand-side measures are faster but may not address structural unemployment. Guidance: answers must address unemployment specifically; otherwise capped at mid-Level 2. AO3: a balanced comparison with a justified conclusion. One-sided responses earn no AO3 marks.	12